HORIZON KINETICS

January 9, 2014

Dear Valued Partner,

On behalf of all of our Horizon Kinetics colleagues, we would like to wish you a Happy New Year. 2014 is a special year for our firm as it marks the 20th anniversary of our founding in 1994. We appreciate the loyalty of our clients for making this all possible.

The asset management industry has consolidated significantly since our founding. According to Pensions and Investments, the Top 500 managers (of which we rank 412th) manage $68 trillion, with the Top 10 managers managing almost $19 trillion or approximately 28% of the total[1]. It's hard to imagine how the largest managers can be nimble enough to deliver the differentiated results investors seek. It appears to us that the biggest managers are heavily reliant on ultra-liquid, high capacity strategies largely driven by a 'digital' thinking generation of investors. This 'digital herd mentality' creates significant investment opportunities for value investors. As we have written on many occasions, we firmly believe investing is a social science where the behavior of market participants shapes outcomes and returns. Despite this, Wall Street and the broader investment community continue to create countless financial products that seek to precisely engineer risk and return like a physical science – a proposition we have taken strong exception to over the last 20 years.

Our value approach remains committed to taking advantage of the equity yield curve combined with our time-tested predictive attributes. Our research team is extremely busy and focused on capitalizing on opportunities being created by the consistent footprints of the 'digital herd.' One such 'digital footprint' relates to indexation and the presumed virtues of low-cost passive investing. Market participants continue to allocate to ETFs with voracity. Over the last 10 years, assets invested in ETFs have ballooned from $151 million to $1.6 trillion[2]. This increasing allocation is altering valuations and outcomes as the indexes use individual equities and bonds as raw material inputs for their rules-based criteria. Fundamental business and security analysis is extinct in this context, replaced by rules-based inclusion criteria and top-down quantitative exposure measurement and control. For example, are you aware that most indexes avoid or underweight two of our long-standing predictive attributes - owner-operated companies and spin-offs? And thank goodness they do. We believe many investors do not recognize the significance of these limitations and may miss valuable investment opportunities as a result.

[1] Source: Thao Hua, "Worldwide Manager Assets Hit $68 Trillion," Pensions & Investments (November 11, 2013): 22-28.
[2] Source: ICI Fact Book from year end 2003 to November 2013

Shell-shocked from the financial crisis, investors remain highly focused on income and short-term risk control. We see the ‘digital footprint’ of this mentality in fixed income, options, and volatility markets and various products created to satisfy investor appetite. Individual and institutional investor demand for income remains at an all-time high, yet with very few good choices in sight. In response, we created the Kinetics Multi-Disciplinary Fund and Kinetics Alternative Income Fund[3]. We encourage you to understand these income approaches.

With such significant investment opportunities being created by the ‘digital herd,’ we have added resources to our research capabilities by hiring more talented analysts and upgrading our quantitative capabilities. After twenty years in business, we still see enormous value in being fundamental contrarian – albeit, forward looking ‘post digital’ contrarian in today’s environment.

Best wishes to you in 2014.

Murray Stahl
Chairman, Chief Investment Officer

Doug Kramer
Chief Executive Officer

[3] You should consider the investment objectives, risks, charges and expenses of the Kinetics Mutual Funds, Inc. (the “Funds”) carefully before investing. For a free copy of the Funds’ Prospectus, which contains this and other information, including the top 15 holdings of each of our funds, visit our website at www.kineticsfunds.com or call 1-800- 930-3828. You should read the Prospectus carefully before you invest.